AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2019

Principles of Accounting Paper II

Time: 2 hours 15 minutes Marks: 70

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TEN questions. Answer ALL questions.
3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).
5. You may use a scientific calculator if you wish.
6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 4 Marks)

Classify the following activities performed by different individuals in various branches of accounting.

S. No.	Activity	Branch of Accounting
1	Anum prepares various reports that are for the facilitation of different internal and external stakeholders of the business. These reports are periodic and are based on historical data of the enterprise.	
2	Arwa prepares different reports that are for facilitation of various internal stakeholders. These reports are for decision making and target setting based on historical data as well as future estimations.	
3	Areej prepares different reports that include categorisation, valuation and expenses incurred during the process of production. This data is used by the internal stakeholders for controlling, planning and budgeting decisions related to production.	
4	Asma records all the transactions of the business whether cash or credit. These records are normally for internal purposes and are used for further processing of data and report preparations.	

Q.2. (Total 5 Marks)

Identify the effect of the given transactions on all applicable account heads.

(**Note:** The first transaction has been solved for your assistance.)

S. No.	Transaction	Effect on Account Heads
1	**Business started its activity by cash investment of Rs 500,000 and building worth Rs 1,000,000**	**Increase in capital** **Increase in cash (current asset)** **Increase in building (non-current asset /fixed asset)**
2	Purchased merchandise on account worth Rs 50,000	
3	Purchased weighting scale and supplies for Rs 10,000	
4	Sold goods for Rs 15,000	
5	Paid Rs 1500 for maintenance of building	
6	Purchased goods worth Rs 25,000	

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Q.3. (Total 6 Marks)

Complete the table by identifying the books of original entry and the accounts to be debited or credited by the transactions performed by the grocery store.

(**Note:** The first transaction has been solved for your assistance.)

S. No.	Transaction	Book of Original Entry	Account Head to be Debited	Account Head to be Credited
1	**Purchased goods on account from Salim Brothers**	**Purchase journal**	**Purchase**	**Trade Payable (Salim Brothers)**
2	Sold goods to Mustaqeem Sons			
3	Sold store fixtures for cash			
4	Purchased automatic cash counter machine from Alpha Brothers			
5	Goods received in return from Mustaqeem Sons			
6	Paid wages to workers			
7	Cash deposited into bank			

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Q.4. (Total 6 Marks)

The following transactions were extracted from the books of Alpha Store during the last week of December, 2018.

Dec, 24 A supplier account of Rs 4,500 was settled by issuing a cheque for Rs 4,000.

Dec, 25 Sold goods to a customer worth Rs 50,000, of which Rs 10,000 was received as cash and the remaining amount will be received in two months.

Dec, 26 Cash deposited into the bank Rs 25,000.

Dec, 27 Received a cheque from Ali & Co. of Rs 7,500 in settlement of his account for Rs 8,000. This cheque was deposited into bank on the same day.

Dec, 28 Received a bank memo stating that client MM Brothers have deposited Rs 10,000 directly in the account of Alpha Store.

Dec, 29 Withdrew cash Rs 2,000 for personal use and issued a cheque for Rs 10,000 as utility bills of the residence from the business account.

Using the given information, prepare a THREE column cash book.

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Cash Book									
Receipt					Payment				
Date	Particulars	Discount	Cash	Bank	Date	Particulars	Discount	Cash	Bank
24.12	Balance		50,000	500,000					

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Q.5. (Total 7 Marks)

a. Saleem the owner of a restaurant, in order to facilitate his customers for billing through cards, wants to open a bank account for the day-to-day transactions of his restaurant. (2 Marks)

i. Identify the type of bank account that will be appropriate for Saleem.

_____

_____

ii. Mention any ONE reason for the selection of that particular account.

_____

_____

b. The given table shows various discrepancies found by the accountant of Al-Abid Brothers at the time of preparing bank reconciliation statement for the month of July 31, 2018. (5 Marks)

S.No.	Discrepancy
1	Bank returned the cheque marked NSF; Rs 500
2	Service charges deducted by bank; Rs 100
3	Payment by cheque of Rs 1,900 was wrongly entered in the cash book as Rs 9,100
4	Cash deposited by Al-Abid Brothers were wrongly credited by bank into Jinnah Brothers' account; Rs 5,000
5	Bank collected dividends of Rs 1,300 on behalf of Al-Abid Brothers
6	Bank paid rent of Rs 3,000 on behalf of Salim Sons but erroneously debited the account of Al-Abid Brothers.

The bank balance of Al-Abid Brothers before the above mentioned adjustments was Rs 2,000.

Calculate the adjusted bank balance as per Al-Abid Brothers as on July 31, 2018 by preparing bank reconciliation statement.

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Q.6. (Total 6 Marks)

The following errors were identified during the closing of accounts by Sabeer Brothers.

I. A cheque of Rs 25,000 received from Ameen Brothers on account of sales was wrongly credited to Aman Brothers.

II. A purchase of office furniture worth Rs 10,000 had been posted to the purchase account.

III. On cross-checking with invoices of Alpha Traders, it was revealed that the purchases of Rs 150,000 have been posted in the accounts as Rs 15,000.

IV. Cash sales worth Rs 20,000 were not recorded in the books.

a. Identify the type of error made in each of the given transactions. (Attempt any THREE). (3 Marks)

I. _____

II. _____

III. _____

IV. _____

b. Rectify the errors identified in part a, by preparing general entries. (Attempt any THREE). (3 Marks)

S. No.	Particulars	P.R.	Debit	Credit

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Q.7. (Total 6 Marks)

The extract of the trail balance of Ameen Traders showed salary expense as Rs 25,000.

Cases for Adjustment

Case 1: Salaries expenses for the year was Rs 36,000.

Case 2: Prepaid salaries at the end of the year were Rs 18,000.

Case 3: Salaries expenses for the year was Rs 15,000.

Considering each of the given conditions separately, mention how these amounts will be reflected in the financial statements of Ameen Traders after adjustments.

	Statement of Financial Position (Balance Sheet)		**Income Statement**
	Prepaid Salary	**Salary Payable**	**Salary Expense**
Case 1			
Case 2			
Case 3			

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Q.8. (Total 10 Marks)

On January 01, 2015, Al-Fatah Traders purchased printing machine from Al-Razzaq Industries. The list price of the machine was Rs 875,000. Al-Razzaq Industries offered 5% trade discount with a credit term of 2/10, n/30. The payment was made within the discount period.

Al-Fatah Traders made the following payments before the machine became operational:

Accounts Titles	**Amount (Rs)**
General sales tax (GST)	45,000
Foundation charges	85,000
Installation charges	15,000
Transit insurance	100,000
Three year fire insurance premium	125,000
An extra AC unit installed for machine	75,000
An extra component installed for efficiency	15,000
Repair and maintenance cost during January, 2015	10,000

a. List the revenue expenditures that are incurred on the purchase of machine by Al-Fatah Traders. (2 Marks)

b. Compute the cost of machine. (5 Marks)

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c. On January 01, 2015 Aftab Traders purchased a printing machine for Rs 1,000,000. The estimated life of the machine was 2,000,000 hours.

The accounting year of the business ends on December, 31 each year and the business uses the hours worked method for charging depreciation.

The usage of the machine for the first two years of operation is as under:

Year	Hours Worked
2015	240,000
2016	600,000

Calculate the amount of depreciation from 2015 to 2016. (3 Marks)

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Q.9. (Total 10 Marks)

Suleman started a mini-mart with cash investment of Rs 1,500,000 and store building worth Rs 3,000,000. The following transactions took place during the first week of January 2019.

I. Purchased machinery worth Rs 250,000 on installment by paying Rs 50,000 down payment and the rest of the amount will be paid in four quarterly installments.

II. Purchased supplies for the mart worth Rs 20,000 and merchandise for Rs 150,000.

III. Purchased merchandise from Alpha Company for Rs 100,000 of which Rs 28,000 was paid and a post-dated cheque was issued for the remaining amount.

IV. Paid promotional activity charges on the inauguration of mart Rs 10,000 and paid Rs 15,000 in advance for advertisement on a local area TV network.

V. Sales revenue on the first day of operation was Rs 30,000 in cash and Rs 7,000 by cheque.

VI. Suleman withdrew Rs 1,500 cash and merchandise worth Rs 1,000 for personal use.

Prepare the general entries of any FIVE of the given transactions.

S. No.	Particulars	P.R.	Debit	Credit

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S. No.	Particulars	P.R.	Debit	Credit

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Q.10. (Total 10 Marks)

The following trial balance has been extracted from the books of Noorani Travels.

Account Title	Trial balance		Adjustment		Adjusted Trial Balance	
	Dr	Cr	Dr	Cr	Dr	Cr
Cash	25,500				25,500	
Trade (accounts) receivables	8,500				8,500	
Equipment	75,000				75,000	
Trade (accounts) payable		4,000				4,000
Unearned service revenue		13,000	1,800	2,000		13,200
Notes payable		20,000				20,000
Capital		64,000				64,000
Service revenue		31,000	2,000	1,800		30,800
Salaries expense	15,000		2,000		17,000	
Advertising expense	5,000			2,000	3,000	
Fuel expense	2,000				2,000	
Supplies	1,000				1,000	
Depreciation expense			15,000		15,000	
Accumulated depreciation				15,000		15,000
Salaries payable				2,000		2,000
Interest expense			1,200		1,200	
Interest payable				1,200		1,200
Prepaid advertising			2,000		2,000	
Total	**132,000**	**132,000**	**24,000**	**24,000**	**150,200**	**150,200**

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Prepare classified statement of financial position (balance sheet).

(**Note:** The balancing amount should be considered as the amount of Profit/ Loss.)

Noorani Travels				
Statement of Financial Position (Balance Sheet)				

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END OF PAPER

Please use this page for rough work

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